

- **Dividends.** These are payments that companies issue to their stockholders based on profits earned.

Because there are multiple ways to earn money by investing in the stock market, there is the opportunity for you to diversify your investments and earnings. As you continue doing this over time, your money earns money, and then *that* money earns money (this is called *compounding*), so we are talking about potential exponential growth here. This can all multiply far beyond what you are able to earn by exchanging your time for money and putting it in a savings account. Not to worry, we'll be getting into more details on how all of this works later.

So why does investing matter?

It matters because regardless of how you do it, it's the one way in which you can put your money to work for you so you can increase your income without increasing your workload and build the life you truly desire. If you've ever thought about retiring early into the lap of luxury, traveling the world with loved ones, owning a beautiful home or even multiple homes, having the freedom to work on your passions, being able to be generous with loved ones and charities, or any other dream that money can empower you to achieve, then investing is how you get there. If you're wondering how the truly rich get and stay rich, investing is the answer. That's right—no magic tricks!

That's why investing matters.

GETTING EDUCATED ABOUT INVESTING

By now you get why investing matters. You need to invest to grow your money, point taken. But perhaps you have wondered why you need to know the details of how it all works. After all, these days you can simply input your goals into your favorite robo-advisor tool and it will create a master plan for you. Or better still, you can hire a financial advisor to figure it all out for you. Isn't that what you pay them for? In theory, this sounds great, but realistically not so much.

Getting educated about how investing works is key to being able to make informed investing decisions. And when you're able to make informed